Department of Management Sciences

Level three B3ME
UCAC/ICY/FSSG

MONETARY ECONOMICS

FIRST SEMESTER EXAM
ACADEMIC YEAR 2024-2025

I. Questions **12 MARKS**

1. In the demand for money theory, give the explanation of the different dates : 1911, 1917, 1936, 1952, 1963 and 2008. **3 MARKS**
2. Define monetary base, analyse its components and present four arguments of the importance of controliling the monetary base. **4 MARKS**
3. During the recent financial crisis, Quantitative Easing (QE) has been implemented as a solution of resolving the crisis. Explain the concept, analyse its mechanism and impact. **3 MARKS**
4. Give the Key Differences between Walras's Law and Patinkin's Critique **2 MARKS**

II. Exercises **8 MARKS**

Exercise 1 : **2MARKS**

Given that the risk-free asset has a return of 4%, the expected return of the risky asset is 10%, and the standard deviation of the risky asset is 15%, calculate the proportion of wealth an investor should allocate to the risky asset in order to achieve a portfolio with an expected return of 7%.

Exercise 2 : **2 MARKS**

If the central bank increases the monetary base (B) by $100 million and the reserve requirement (r) is 25%, what will be the impact on the money supply?

Exercise 3 : **2 MARKS**

If the nominal interest rate is 8% and the inflation rate is 3%, what is the real interest rate?

Exercise 4 : **2 MARKS**

If the total value of transactions per year (T) is $10,000, the fixed transaction cost (F) is $5 per withdrawal, and the interest rate (i) is 0.10 (10%), calculate the optimal cash balance (C*) using the Baumol-Tobin model.

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